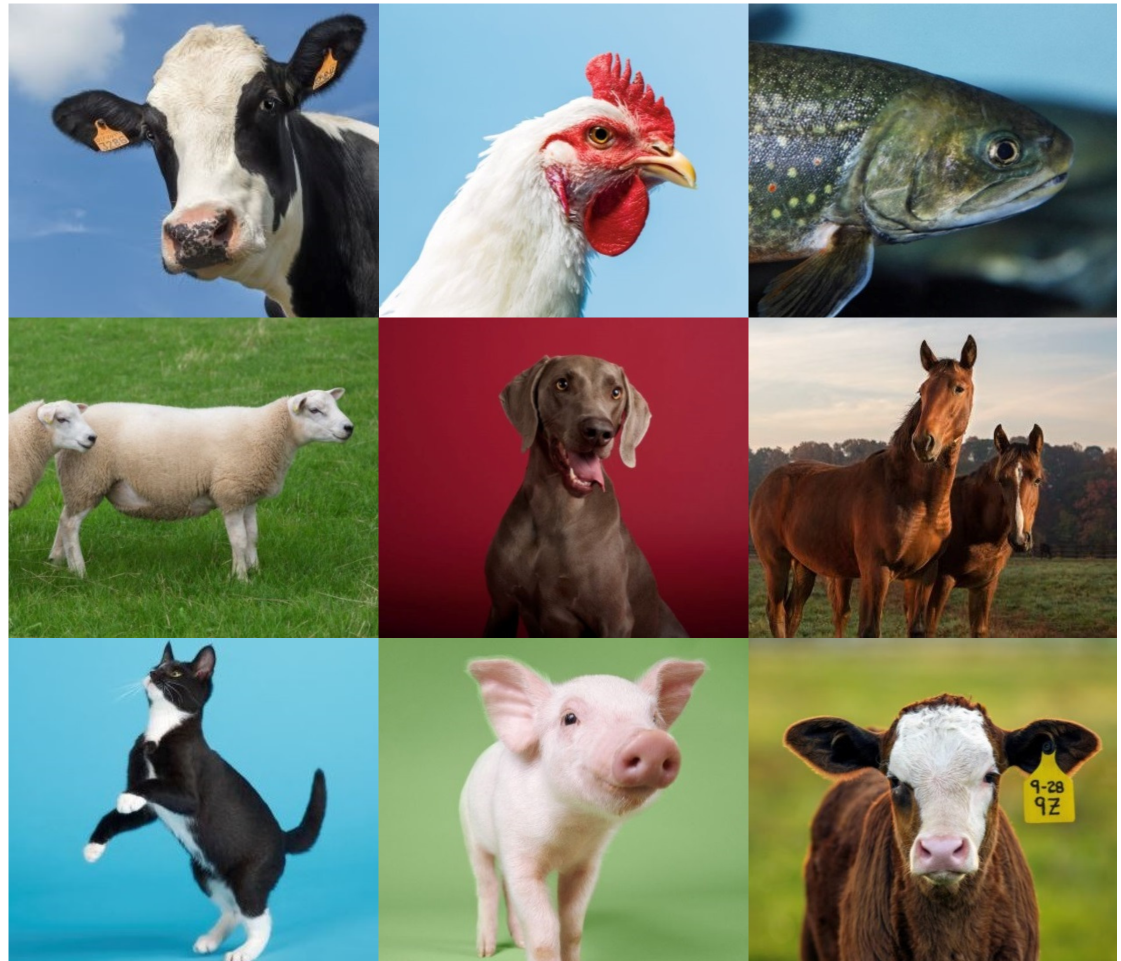
FIRST QUARTER 2018 FINANCIAL RESULTS

May 2, 2018



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FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our most recent Annual Report on Form 10-K, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

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JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG START TO 2018

- Operational[1] growth of 7% in revenue, driven by performance of dermatology portfolio as well as new products like vaccines
- Continue generating profitable revenue growth based on diverse portfolio, innovations we bring to market and value we deliver to customers
- Adjusted net income[2] operational growth of 34% as we continue to benefit from revenue growth, improvements to gross margin and impact of recently enacted U.S. tax reform

WELL-POSITIONED FOR LONG TERM PROFITABLE GROWTH

- See excellent growth opportunities in animal health across the cycle of care, from prediction and prevention to detection and treatment
- Continue to make investments internally and externally to support key growth opportunities
- Reaffirming full-year 2018 guidance

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.
[2]Adjusted Net Income (non-GAAP financial measure) is defined as reported U.S. generally accepted accounting principles (GAAP) net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

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GLENN DAVID
CHIEF FINANCIAL OFFICER

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INCOME STATEMENT HIGHLIGHTS

	First Quarter		
	2018*	2017*	Change
Revenue	$1,366	$1,231	11%
Reported Net Income	352	238	48%
Reported Diluted Earnings Per Share	$0.72	$0.48	50%
Adjusted Net Income[1]	365	261	40%
Adjusted Diluted EPS[1,2]	$0.75	$0.53	42%

* Millions of dollars, except per share data

[1]Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.
[2]Adjusted diluted EPS reported growth of 42% includes 6% favorable foreign exchange impact, and operational growth of 36%.

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ADJUSTED INCOME STATEMENT HIGHLIGHTS

	First Quarter				
	2018*	2017*	Change	Foreign Exchange	Operational[1]
Revenue	$1,366	$1,231	11%	4%	7%
Adjusted Cost of Sales[2]	444	438	1%	2%	(1)%
as a percent of revenue[3]	*32.5%*	*35.6%*	*NA*	*NA*	*NA*
Adjusted SG&A Expenses[2]	336	306	10%	4%	6%
Adjusted R&D Expenses[2]	96	89	8%	2%	6%
Adjusted Operating Expenses[4]	436	399	9%	3%	6%
Effective Tax Rate on Adjusted Income[2]	18.2%	27.8%	NA	NA	NA
Adjusted Net Income[2]	365	261	40%	6%	34%

* Millions of dollars

NA – Not applicable

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.
[2]Adjusted net income and its components (a non-GAAP financial measure) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.
[3]Adjusted gross margin (a non-GAAP financial measure) was 67.5% in the first quarter of 2018, and 64.4% in the first quarter of 2017.
[4]Adjusted Operating Expenses (a non-GAAP financial measure) of $436 million in the first quarter of 2018, and $399 million in the first quarter of 2017 include adjusted amortization of intangible assets of $4 million in both 2018 and 2017.

US SEGMENT PERFORMANCE

	First Quarter				
	2018*	2017*	Change	Foreign Exchange	Operational[1]
Revenue	$634	$605	5%	-	5%
Livestock	292	282	4%	-	4%
Companion Animal	342	323	6%	-	6%
Cost of Sales	140	137	2%	-	2%
Gross Profit	494	468	6%	-	6%
Gross Margin	*77.9%*	*77.4%*	*NA*	-	*NA*
Operating Expenses	96	96	-	-	-
Other (Income)/Deductions	-	-	-	-	-
Earnings[2]	398	372	7%	-	7%

* Millions of dollars, NA – Not applicable

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.
[2]Defined as income before provision for taxes on income.

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INTERNATIONAL SEGMENT PERFORMANCE

	First Quarter				
	2018*	2017*	Change	Foreign Exchange	Operational[1]
Revenue	$726	$615	18%	7%	11%
Livestock	478	421	14%	7%	7%
Companion Animal	248	194	28%	9%	19%
Cost of Sales	234	213	10%	6%	4%
Gross Profit	492	402	22%	8%	14%
Gross Margin	*67.8%*	*65.4%*	*NA*	*NA*	*NA*
Operating Expenses	133	114	17%	8%	9%
Other (Income)/Deductions	1	(3)	**	**	**
Earnings[2]	358	291	23%	8%	15%

* Millions of dollars, NA – Not applicable, ** Calculation not meaningful

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.
[2]Defined as income before provision for taxes on income.

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INTERNATIONAL MARKET REVENUE

	First Quarter				
	2018*	2017*	Change	Foreign Exchange	Operational[1]
Total International	$726	$615	18%	7%	11%
Australia	48	40	20%	6%	14%
Brazil	70	66	6%	(1)%	7%
Canada	40	34	18%	5%	13%
China	64	52	23%	9%	14%
France	33	29	14%	15%	(1)%
Germany	38	28	36%	19%	17%
Italy	27	22	23%	13%	10%
Japan	41	34	21%	4%	17%
Mexico	24	18	33%	10%	23%
Spain	25	20	25%	15%	10%
United Kingdom	52	43	21%	11%	10%
Other Developed	79	68	16%	9%	7%
Other Emerging	185	161	15%	5%	10%

* Millions of dollars

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	**Full Year 2018**
Revenue *Operational growth[1]*	\$5,675 to \$5,800 *5% to 7%*
Adjusted cost of sales as a percentage of revenue[2]	Approximately 32%
Adjusted SG&A expenses[2]	\$1,370 to \$1,420
Adjusted R&D expenses[2]	\$400 to \$420
Adjusted interest expense and other (income) / deductions[2]	Approximately \$190
Effective tax rate on adjusted income[2]	21% - 22%
Adjusted diluted EPS[2]	\$2.96 to \$3.10
Adjusted net income[2] *Operational growth[1,3]*	\$1,450 to 1,520 *20% to 26%*
Certain significant items[4] and acquisition-related costs	\$20 to \$40
Reported diluted EPS	\$2.77 to \$2.93

[1]Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

[2]Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted SG&A expenses, adjusted R&D expenses, adjusted interest expense, adjusted other (income)/deductions are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

[3]We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP Reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impact of these items are uncertain, depend on various factors, and could have a material impact on GAAP Reported results for the guidance period.

[4]Primarily includes certain nonrecurring costs related to restructuring and other charges for the supply network strategy. Excludes potential net gains/losses on sales of assets.

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Q&A

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